

[Figure 15.4](#) Shown is a bump-and-run reversal with a pointed-looking first bump, leaving investors precious little time to get out of the stock. Many semiconductor stocks showed similar price patterns in late 1995, setting the stage for an industry-wide downturn. The ultimate low reached in mid-January 1996 comes after a decline of nearly 70%.

[Table 15.5](#) Size Statistics

Description	Bull Market	Bear Market
Tall pattern performance	−18%	−24%
Short pattern performance	−16%	−25%
Median height as a percentage of breakout price	32.0%	32.0%
Narrow pattern performance	−17%	−25%
Wide pattern performance	−18%	−24%
Median width	112 days	96 days
Short and narrow performance	−16%	−25%
Short and wide performance	−16%	−23%
Tall and wide performance	−18%	−24%
Tall and narrow performance	−19%	−24%

I computed the difference between the highest high in the pattern and the lowest low and then divided the height by the breakout price. Values above the median I considered tall; values below the median mean the pattern is short. As a general rule, stick to trading tall patterns.

Width. Again, results are mixed and probably not statistically significant anyway. I used the median length as the divider between narrow and wide. Because wide patterns tend to do better than narrow ones (as a general rule, in other chart pattern types), I would stick to picking wide ones.

Height and width combinations. In bull markets, tall and narrow patterns do well. In bear markets, short and narrow ones outperform. You'll want to avoid short and wide ones, though. They show the worst performance across bull and bear markets.